

INCENTIVE PLANS

- Not a single wage payment method is alone support for all the time and all the circumstances.
- It provides incentives to workers to produce more and get paid for additional works.
- A mixed form of both the methods
- **PERSONAL INCENTIVE PLANS:** The incentive or bonus payable to the workers is calculated on the basis of individual efficiency of workers.
- **GROUP INCENTIVE PLANS:** each member



INCENTIVE PLANS

Incentive Plans are the plans formulated to influence and motivate the workers to achieve the set targets to get the reward. The incentive is given to the worker by paying some bonus or premium in addition to their normal wages. An Incentive Plan comprises of incentives like

- Profit sharing
- Project bonuses
- Stock options
- Sales commission, etc.

TYPES OF INCENTIVE PLAN

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graph TD; A[TYPES OF INCENTIVE PLAN] --> B[TIME BASED]; A --> C[PRODUCTIVITY BASED]; B --> D[HALSEY PLAN]; B --> E[ROWAN PLAN]; B --> F[EMERSON PLAN]; B --> G[BEDAUX PLAN]; C --> H[TAYLOR PLAN]; C --> I[MERRICK EMERSON'S PLAN]; C --> J[GANTT'S TASK AND BONUS PLAN];
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TIME BASED

HALSEY PLAN

ROWAN PLAN

EMERSON PLAN

BEDAUX PLAN

PRODUCTIVITY BASED

TAYLOR PLAN

MERRICK
EMERSON'S PLAN

GANTT'S TASK
AND BONUS PLAN



TIME BASED INCENTIVE PLANS

Individual Incentive Wage System

Halsey Premium Plan

- Under this plan, the standard time required to complete a standard job is determined on the basis of (a) past experience and (b) time and motion study.
- If a worker complete his task in a time less than it's stipulated time , he is saving time and is rewarded with bonus. i.e. in between **$33\frac{1}{3}\%$ to $66\frac{2}{3}\%$** of the wages for the time saved. And if he failed he will paid minimum wages.
- $\text{Wages} = T * R + \% (S - T) * R$
- T = Actual time taken by the worker to complete this task
- R = Rate per unit time
- S = Standard time to complete the job
- $\%$ Varies between **$33\frac{1}{3}\%$ to $66\frac{2}{3}\%$**

Halsey Weir Plan

- Here the worker receives 30% of the time saved as bonus



FEATURES OF HALSEY PLAN

Standard time for each job is fixed in advance.

Wages are calculated on the time basis.

Standard time is decided on the basis of time studies and motion studies.

The bonus provided is 50% of the actual wages or sometimes one-third of the actual wages.

ADVANTAGES OF HALSEY PLAN

As per this plan, the minimum wage rate is guaranteed to the worker.

As per this plan, the efficient workers get rewarded by the way of bonus and inefficient workers do not get rewarded.

As the workers feel motivated by getting extra reward their productivity increases.

The benefit from the time saved is shared equally by the employer and employee.

The employers also gain since direct labor cost and overheads cost per unit declines.

DISADVANTAGES OF HALSEY PLAN

The workers are given only 50% of the wages of the time saved not the full amount. Because of this, some workers oppose this plan.

To complete the work before time, employee sacrifices the quality of the production.

The standard time to complete the job is just an estimation which may not be true in all the cases.

Due to over-speeding there are chances of wastage of raw-materials.

ROWAN PLAN

Rowan Plan was originated by David Rowan of Glasgow, USA. This plan guarantees the hourly rate of wages to the workers. As per this plan, the worker is paid the wages comprise two amounts:

- The wage rate per hour for the actual time taken to complete the job.
- Amount of bonus for the time saved.

In case of Rowan plan, the bonus or premium is not provided on the fixed basis rather varies on the basis of time saved in comparison with standard time. The bonus of the worker who is able to finish the job in less than the allowed time, is equal to his time wage for that proportion of the time taken as the saved time bears to the time allowed.

ROWAN PLAN

CALCULATION OF TOTAL WAGES

$$\text{Total Wages} = T \cdot R + (S - T/S) \cdot T \cdot R$$

Where,

T= Actual time taken

S= Standard time Allowed

R= Rate of wages per hour.

EXAMPLE

Suppose the hourly rate of wage is Rs. 1 per hour, standard time to complete the job is 16 hours and actual time taken is 12 hours. The calculation of wage rate under Halsey plan is as follows:

$$\text{Total Wages} = T \cdot R + (S - T/S) \cdot T \cdot R$$

$$= 12 \cdot 1 + (16 - 12/16) \cdot 12 \cdot 1$$

$$= 12 + 3$$

$$= \text{Rs. } 15$$

FEATURES OF ROWAN PLAN

It is an individual incentive plan based on time rate system.

The minimum wages are guaranteed in this system.

Standard time for each job is fixed in advance.

Standard time is decided on the basis of time studies and motion studies.

The rate of bonus or premium is not fixed under this plan.

ADVANTAGES OF ROWAN PLAN

The calculation of wage rate under the Rowan Plan is easy and simple and does not involve tedious calculations.

As per this plan, the minimum wage rate is guaranteed to the worker.

As the workers feel motivated by getting extra reward their productivity increases.

Fixed overhead per unit will be lower as result of higher output.

Better wage is earned by the employees; their improvement in efficiency is rewarded.

DISADVANTAGES OF ROWAN PLAN

The workers do not like the idea of sharing the savings by both employer and employee, since the time is saved by the workers.

The bonus hour's rate will not exceed the 25% of the time allowed in any case.

The ordinary worker finds it very difficult to calculate the wages as per this plan.

BEDAUX PLAN

Bedaux plan was introduced by Charles E. Bedaux in 1911. The Bedaux plan is an incentive scheme in which the standard time for the completion of the job is fixed and the rate per hour is defined. Each minute of the standard time is called as a point or B, such as in one hour there are 60 Bs. If the worker completes the job in more than standard hours, then he is paid according to the time rate i.e. time taken is multiplied by the hourly rate. In case, the work is completed in hours less than the standard time, then the worker is entitled to the bonus in addition to the hourly rate. A bonus is equal to the 75% of the earned/ saved points multiplied by the one-sixth of the hourly rate. Even if the worker does not reach the standard, then he is paid according to the time-rate.

BEDAUX PLAN

EXAMPLE

Suppose standard time to complete the job is 8 hours and rate per hour is Rs. 1. The wage rate as per Bedaux plan is calculated as follows:

CASE I: Actual time= 10 hours.

Earnings= $10 \times 1 = \text{Rs. } 10$.

CASE II: Actual Time= 6 hours.

Earnings:

Time wages= $6 \times 1 = \text{Rs. } 6$

Bonus:

Standard Bs= $60 \times 8 = 480$

Actual Bs= $60 \times 6 = 360$

Saved Bs= $(480 - 360) = 120$

Bonus= $(75/100) \times (120 \times 1/60)$

= 1.50

Thus, total earnings= $6 + 1.50 = \text{Rs. } 7.50$

FEATURES OF BEDAUX PLAN

Based upon the work measurement study, the standard time is established for each job in terms of points. One point is equal to one minute i.e. a standard hour consists of 60 points.

Guaranteed wage rate is paid up to standard performance.

Guaranteed wage rate plus incentive is paid above the standard performance.

BEDAUX PLAN

ADVANTAGES

- This plan is simple and easy to operate.
- This plan provides incentives for higher productions in the real sense.
- This brings in a competitive spirit amongst the workers to produce more.

DISADVANTAGES

- The calculations of this plan are complicated which are not understandable by the workers.
- Workers do not like that foreman should share their bonus.

EMERSON'S EFFICIENCY PLAN

This plan was introduced by Mr. Hemington Emerson. Under this plan of incentive wages, the wages are paid at the standard rate and the amount of bonus paid to the workers depends on the individual efficiency of the workers. The efficiency of the worker is determined in the ratio of actual time taken by the worker with standard time of the work.

If a worker produces less than this, no bonus should be paid to him. The bonus is calculated on the following basis:

- Bonus must be 20% of his daily wages if the efficiency exceeds 100%.
- If efficiency exceeds by 10% over 100%, bonus will be $20\% + 10\% = 30\%$.
- In the same manner, the rate of the bonus will be 40% at 120% level, 50% at 130% level and 60% at 140% level of efficiency.

EMERSON'S EFFICIENCY PLAN

ADVANTAGES

- This method is simple and easily understood by workers.
- It gives minimum guaranteed wage to all workers.
- It is a good source of motivation, as the rate of bonus is directly related to efficiency in a rational manner.
- It helps to reduce job turnover and dissatisfaction and helps to increase the efficiency of the workers.

DISADVANTAGES

- It is not a good source of encouragement for every efficient worker, as benefit is normal above the standard level.
- It is difficult to maintain a separate record for different categories of workers.



PRODUCTIVITY BASED INCENTIVE PLANS

GANTT'S TASK AND BONUS SCHEME

This plan was originated by Henry Laurence Gantt who was an American Mechanical Engineer. This plan is the combination of time rate system, differential piece rate systems and bonus systems. This plan ensures the minimum wages to the workers.

Under this plan, a standard time is fixed for doing a particular job and the actual performance of the worker is compared with the set standard and his efficiency is determined. The wage rate under this method is determined as:

- The worker who fails to attain the standard is paid the guaranteed time rate.
- The worker who attained the standard is paid the guaranteed wage rate.
- The worker going above the standard is paid a higher piece wage rate plus 20% bonus of the time rate.

FEATURES OF GANTT'S TASK AND BONUS SCHEME

A standard time is fixed for completing the work.

A worker taking standard or more time gets wages on hourly rate.

A bonus ranging from 25% to 50% is paid for completing the task in less than standard time.

ADVANTAGES OF GANTT'S TASK AND BONUS SCHEME

As per this plan, the minimum wage is assured to every employee.

The worker's with low productivity do not get punished.

This plan is a motivating factor for employees to increase their efficiency as it is directly related to incentive.

This plan is most profitable for workers where efficiency is very high as the bonus is paid on the increased wage.

DISADVANTAGES OF GANTT'S TASK AND BONUS SCHEME

This system is against the interests of labor unions.

If the standard performance is too high, it may cause dissatisfaction among the workers.

It increases labor cost for low production.

Adequate attention is paid in fixing the guaranteed time rate and determination of standard output, as any error creates disturbances among workers.

TAYLOR INCENTIVE PLAN

This system was introduced by Fredrick Winslow Taylor. Under this system, standard time for every work is determined on the basis of time and motion study. Two rates of wages are determined which are high rate and low rate. The workers, who complete their work within standard time or before standard time, are paid wages at high rate. The workers who fail to complete their work within or less than standard time will get wages at low rate.

FEATURES OF TAYLOR INCENTIVE PLAN

The workers who complete their work in more than standard time will get wages at low rate.

The workers who complete their work in less than standard time will get high rate of wages.

Standard time of work is determined.

Two rate of wages determined are low rate and high rate.

ADVANTAGES OF TAYLOR INCENTIVE PLAN

This system helps in lowering down the cost of production per unit.

This system is based upon scientific calculations, proper work and job standardization.

Most important merits of this system are that it rewards an efficient worker and penalizes the inefficient worker.

This method reduces the supervision to the minimum.

It encourages the worker to produce more and more.

DISADVANTAGES OF TAYLOR INCENTIVE PLAN

Workers in order to earn more will not care much for quality of the work, hence more wastages and rejections.

Quantity orientation makes the workers to work fast, in due course the workers may neglect the safety measures.

If the standard work of the worker is less than his normal capacity it causes great dissatisfaction among the workers.

The greatest demerit of this plan is that it does not guarantee minimum wages. So this plan is opposed by the labor unions.

This system classifies the workers into two categories: efficient or inefficient.

This system is not suitable for the unity of the workers.

MERRICK EMERSON'S PLAN

Merrick's Emerson Plan is an improvement over the Taylor's plan. Under this plan, three rates of wages are determined in place of two rates:

- Straight piece rate up to 83% of the standard performance.
- 10% above the normal rate for producing between 83%-100%.
- 20% above the normal rate for producing more than 100% of the standard performance.

Under this system, the workers who complete 80% of the standard production get minimum wages. They do not get any bonus. The workers, who achieve the level of performance between 80% and 99% get 100% bonus also in addition to their wages. The workers, who achieve 100% of standard performance, get 10% additional bonus.

FEATURES OF MERRICK EMERSON'S PLAN

The minimum wage is not guaranteed under this system.

Standard rate is established after a thorough analysis of each job.

It encourages the workers to produce more and if they come up to 83% of the standard performance, they are going to get the piece rate above the standard piece rate.

MERRICK EMERSON'S PLAN

ADVANTAGES

- It is liberal for the efficient workers.
- It reduces the severity of Taylor's plan and is an improvement to it.

DISADVANTAGES

- No minimum wage is guaranteed.
- A feeling of insecurity develops among low performers due to wide gaps in wage rate slabs.

Group Incentive Plan

- Individual incentive plan can be applied only in those cases where output produced is measurable and one worker works from the beginning till end to produce one unit of output
- In real life, the output of individual workers can't be measured and a unit of output produced is the combined effort of group workers.
- It aims at promoting mutual cooperation among workers, ensuring better productivity, and providing equitable bonus,

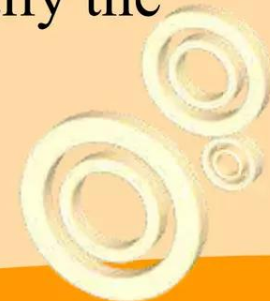


Prietman's Production Bonus Plan

- Here a committee represents management and worker union set forth the standard of performance in terms of numbers of unit produced.
- This standard set in advance every week or month.
- If a group of workers succeed in producing output are more than the standard set, bonus become payable to all members.
- *Percentage bonus = Actual output-standard Output/Standard Output*

Towne Plan

- Under this system, bonus is related to cost reduction, usually the labour cost as compared with the predetermined standard.
- Applicable to both supervisors and workers.



Co-partnership system

- Here a worker gets a share in the profits of the company as he can take part in the control and management of company.
- Payment of a fixed rate of interest on capital

Profit Sharing system

- A type of arrangement between the employer and employee under which employer agree to pay his employees a share in the net profit of the enterprise.
- Its aim is to promote increased effort and output, to share some gain in the firm productivity, and to strengthen the employee loyalty.
- Also called Industrial Democracy



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